

Logistics Industry History



KUEHNE+NAGEL

- First serious logistics attempts were made during supplies of food, warfare material. They became critical factors behind winning and losing wars. Since then, logistics has evolved steadily and continued to remain critical over time.
- Railroads, steam engines, ships, automobiles followed by planes came to change the face of logistics industry and started companies that we see today.
- As industries became larger and communication became easier, logistics companies could grow to a scale un-imagined before.
- Companies like FedEx, UPS, Nippon Express and DHL went on to become industry leaders.
- Most of these companies started early, and as industrial revolution caught up in those countries, they grew with them achieving economics of scale. Once they had scale, they could pick and choose new markets, and they began to dominate them over time.
- Others who had started, failed as they could not achieve economics of scale.
- DHL started as a small company in the US but was bought over by Deutsche Post Group. Post acquisition, it gained scale, merits and access to Deutsche Post's transportation network. So, it succeeded, capitalising on the opportunity using M&A.
- Nippon Express was started in 1872 and was mainly used for wartime material and personnel transport. That is where it got access to early scale advantages.
- XPO, STO, YTO, and SFExpress are Chinese companies that grew with the support of Alibaba and Chinese E-commerce.
- FedEx began in 1971 and pioneered live tracking of packages, which instantly got it volumes. It capitalised on the advantages using M&A to gain scale benefits.
- Kuehne+Nagel was used by the Nazis as an official transport company. Thus, it had early and exclusive access to scale.
- The product for such companies has evolved from majorly large B2B parcels to small B2C orders that need to be delivered to retail customers.
- The companies need quick, accessible and reliant logistic providers.
- The biggest challenge for the industry has been operating leverage, high fleet and personnel maintenance.